

or the appointment of auditors or putting processes in place. VCs do not necessarily have that level of involvement,” he adds.

For Grover, the rub was Sequoia. The VC firm’s relationship was always frosty with the folks at BharatPe, rather with Grover. In mid-2020, Sequoia India’s Managing Director, Harshjit Sethi, was at the receiving end of Grover’s ire and expletives were used during one conversation. One VC wryly remarks that in an entity like BharatPe with multiple shareholders (see *A Lot at Stake*), “a crisis is nobody’s problem and resembles the traditional Indian joint family”.

24 | Before the crisis relating to alleged misappropriation of funds or other serious lapses in corporate governance actually broke out, it is hard to imagine that none of the investors knew what was going on. “The fact is, most start-ups where one individual is the face, regardless of prominent investors, function like a *lala ka dukaan* (mom-and-pop store). One may call them entrepreneurs, but the thinking is quite old-fashioned,” says the VC quoted earlier. Grover tried to make BharatPe a professional outfit by bringing in Suhail Sameer (as also former SBI Chairman, Rajnish Kumar), an old McKinsey hand, as Group President before making him CEO last August. Like Sequoia, this is another relationship that turned sour. Meanwhile, an email from *Business Today* to Sequoia met with a terse response—“We don’t have any comments to share.”

According to Shriram Subramanian, Founder and MD of InGovern Research Services, a corporate governance advisory firm, affected stakeholders due to fraud in an unlisted entity like BharatPe are largely the VC or PE firms. “Sometimes these firms may turn a blind eye to financial shenanigans as valuations take precedence over values. Corporate governance of unlisted firms is under the ambit of the Indian Companies



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FOUNDER AND MD,
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SERVICES



“BharatPe and/or its existing shareholders [can] trigger the buyback clause in the AoA [articles of association] as well as the SHA [shareholders’ agreement] to the extent of restricted shares which constitute 1.4 per cent of the 9.5 per cent stake held by Mr Grover”

ARUSH KHANNA
PARTNER, NUMEN LAW
OFFICES

Act,” he says, adding that when companies such as Zomato and Nykaa get listed, the nature of stakeholders changes and higher corporate governance standards are imposed.

It is gathered that the folks at Centrum, too, were not amused about Grover’s purported outburst against a relationship manager at Kotak Mahindra Bank after he did not get any shares during Nykaa’s IPO. A source familiar with the development says the worry was about the need to keep things low-profile in banking, especially when the project is just waiting to get off the ground. “It is a sector where one is constantly under scrutiny and this did upset a lot of people at Centrum,” he explains. Word got back to the BharatPe board and soon it transpired that the Kotak episode was just the tipping point, eventually leading to Grover’s exit.

Responding to a query from *Business Today*, a Centrum spokesperson said, “Our partnership with BharatPe is institutional. Ashneer Grover had no individual, executive or board role at Unity Small Finance Bank and its operations are not impacted. Centrum had no role to play in the issues involving BharatPe, its board and Ashneer Grover. This is their internal matter and does not involve or impact Unity Small Finance Bank.”

BHARATPE IS NOW a company without a visible co-founder and, given how inextricably linked Grover was with the entity, VCs think it is a bit of a challenge. Of course, there is many a legal implication that Grover will need to contend with. One potential danger is his decision to step down within 10 minutes after receiving the agenda for the board meeting. Arush Khanna, Partner, Numen Law Offices, says not only is the timing likely to be impugned but also the fact that Grover has not adhered to the provisions of the AoA (articles of association) as well as the SHA (shareholders’ agreement).